Dead AI Theory

What happens when competence stops being scarce?

Kosta Ioakim

Independent conceptual paper | Version 3.0 | September 5, 2026

“When AI can do anything for anyone, it becomes useless.”

— Initial formulation of Dead AI Theory

AI assistance disclosure. The name and central argument of Dead AI Theory originated with Kosta Ioakim. Generative AI was used for research support, drafting, revision, and editorial assistance. The theory, its central claims, the final framing, and responsibility for publication remain with the author.

Status. Conceptual working paper. It advances hypotheses and predictions; it does not report original experimental data.

Abstract

Dead AI Theory begins with a paradox: the more universally capable artificial intelligence becomes, the less social information its generic outputs may carry. A song, essay, image, program, or design can remain useful - even excellent - while becoming less impressive as evidence of the person behind it. If competent execution is available to nearly everyone on demand, execution itself stops being scarce. At the same time, generated output can expand far faster than human attention. I argue that this combination shifts value away from the mere ability to produce and toward what remains difficult to synthesize at scale: judgment, trusted identity, provenance, responsibility, lived experience, human presence, and relationships. The theory also has a psychological side. People do not only consume finished products; they build identity through learning, making, choosing, and being responsible for outcomes. AI that increases capability while removing people from the causal center of their own work could therefore raise productivity while weakening some sources of pride, status, and meaning. The endpoint is not a world in which AI has failed. It is a world in which AI has succeeded so completely that synthetic competence has become ordinary infrastructure and distinctly human origin has become scarce again.

Keywords: generative AI; authenticity; attention; post-scarcity; human agency; signaling; provenance; meaningful work; creativity

1. The Idea

The idea behind Dead AI Theory began with a blunt thought: "When AI can do anything for anyone, it becomes useless." I do not mean useless in the literal sense. A system that can translate a language, summarize a medical record, write software, or help design a bridge can be extraordinarily useful. I mean something narrower and, I think, more consequential: once a capability is available to almost everyone, possessing the visible result of that capability tells us less about the person who presents it.

For most of history, a finished thing carried traces of the conditions required to make it. A good drawing implied that somebody had learned to draw. A polished film implied time, equipment, coordination, money, or craft. A persuasive essay suggested knowledge and sustained attention. A photograph at least told us that a camera had been pointed at something in the world. None of those inferences was perfect, but the artifact functioned as evidence as well as output.

Generative AI weakens that connection. A single person can now ask for a competent logo, song, memo, application prototype, voice-over, portrait, and short film in the same afternoon. Those things may still be useful. They may even be beautiful. But their existence no longer proves what it once proved. The work is increasingly separable from the skill, time, access, or experience that used to be inferred from the work.

That separation is the starting point. Human beings do not value artifacts only for surface quality or practical function. We also read effort, skill, taste, care, sacrifice, access, history, courage, and identity into them. If AI makes the surface result nearly universal, those meanings do not automatically survive. The technology can keep getting better while the social significance of generic synthetic execution gets weaker.

2. The Dead AI Paradox

I use the word "dead" to describe the point at which AI-generated competence loses novelty and signaling power because it has become ordinary. The technology is not dead. In fact, the paradox requires the opposite: AI has to become extremely successful. Mature technologies often become more useful while becoming less remarkable. Electric light is indispensable, but nobody gains status simply by switching on a lamp. Search is powerful, but finding a basic webpage no longer demonstrates unusual research ability. Once a capability is assumed, possessing it stops distinguishing the possessor.

Broad synthetic competence could follow the same path across an unusually large range of human activity at once. AI might become more valuable as infrastructure while a generic AI-generated artifact becomes less valuable as evidence of authorship, skill, or identity. Practical utility and cultural significance can move in opposite directions.

A generated route is valuable because it gets someone to the right place. A medical summary is valuable because it helps a patient or clinician understand information. In those cases, correctness and convenience dominate authorship. Now compare a wedding vow, a memorial speech, a painting given as a gift, a recommendation letter, a song written for a child, or a photograph offered as evidence of being somewhere. Here origin is entangled with meaning. Two outputs can be equally polished and still not be equivalent, because one contains a human event that the other does not.

This is not Dead Internet Theory, which is concerned with synthetic accounts and automated activity crowding out human activity online. It is also not technical "model collapse," the statistical degradation described by Shumailov et al. (2024) when models are repeatedly trained on generated data. Dead AI Theory is a social theory about what happens to the value of visible competence when visible competence is cheap to reproduce. Nor does it claim that human effort is always superior. In many domains, nobody cares how hard a calculation was. The theory applies most strongly where who did something, why they did it, and what it required of them are part of the value.

I call the point where another increase in accessible AI capability makes execution easier without making the resulting artifact more socially distinctive the Dead AI threshold. It is not a single measurable number and it will arrive at different times in different domains. But the direction of change is clear enough to test: as generic competence becomes easier to obtain, the scarce part of the transaction moves somewhere else.

3. Why Universal Capability Devalues Capability

The first mechanism is simple: capability stops being evidence. A skill has signaling value partly because not everyone possesses it. If a widely accessible system can reproduce the visible result, the visible result becomes weaker evidence that the person presenting it possesses the underlying ability. The question changes from "Can you make this?" to "What part of this came from you?" This is not a moral judgment about assistance. Tools have always changed what artifacts tell us about their makers. General-purpose AI is different mainly in breadth: the same technology can flatten visible skill differences across writing, design, coding, research, audio, video, and planning.

The second mechanism is attention. Generated output can grow much faster than the number of people willing to read, watch, listen to, inspect, or pay for it. The attention-economy literature has long treated information as abundant relative to attention (Bruineberg, 2026). AI intensifies that imbalance because the marginal cost of producing another competent artifact can approach zero while the human day remains twenty-four hours long. If a million people can each generate a thousand competent songs, society has not also created a billion extra days of listening time. Production becomes cheap; discovery, trust, reputation, curation, and audience become expensive.

There is already evidence that more generated participation does not automatically mean more valued communication. In a controlled social-media experiment, Moller et al. (2026) found that some AI interventions increased production or engagement while reducing perceived discussion quality and authenticity. The experiment does not prove Dead AI Theory, but it illustrates the asymmetry the theory expects: supply can rise without a matching rise in perceived value.

The third mechanism is that the artifact reveals less about the person. Difficult work can imply persistence, training, intelligence, access, care, or commitment. AI can preserve the polished object while removing some of the evidence that used to come bundled with it. Research on the "effort heuristic" is relevant here. Kruger et al. (2004) found circumstances in which people valued work more when they believed more effort had gone into it, although later replication work was mixed (Ziano & Yeung, 2023). My argument does not need a universal preference for effort. It only needs the weaker claim that perceived effort, skill, sacrifice, or commitment contributes to value in some important domains.

A wedding vow makes the distinction obvious. Imagine two texts that are equally eloquent sentence by sentence. One was written by a spouse over several nights. The other was generated ten seconds before the ceremony. Many people would not treat those texts as interchangeable. The semantic content is not the entire product. Authorship is part of the product.

The fourth mechanism follows from the first three: when appearance becomes cheap, origin becomes valuable. Cooke et al. (2025) found that people performed near chance on average when distinguishing synthetic from authentic media across several modalities. Park, Oh, and Kim (2024) likewise found difficulty distinguishing AI from human social-media accounts in their experimental setting. Yet source still changes evaluation. Pawelczyk, Dimmery, and Yan (2026) found that explicitly labeling AI-generated images reduced perceived authenticity. Better imitation therefore does not make provenance irrelevant. It can make trustworthy provenance more valuable because appearance alone carries less information.

This is where Dead AI Theory overlaps with newer scarcity arguments without being identical to them. Callaghan (2025) argues that collapsing ideation costs move the bottleneck away from producing ideas and toward alignment with human needs. Loven (2026) argues that when competent-looking judgment becomes cheap, verified signal, legitimacy, provenance, and institutional capacity become scarce complements. I agree with the direction of both arguments: technology does not abolish scarcity so much as relocate it. Dead AI Theory adds a narrower claim about social meaning. A technology can devalue the visible proof of competence precisely by making that proof universally reproducible.

4. The Human Consequence

The audience is only half of the theory. The other half is the person doing the work. People do not merely consume finished products; they build identity around being able to cause things to happen. We learn, fail, improve, choose, make, repair, perform, explain, and eventually recognize ourselves in the result. Self-determination theory has long emphasized competence, autonomy, and relatedness as important conditions for high-quality motivation and well-being (Deci, Olafsen, & Ryan, 2017).

AI can strengthen those experiences when it acts as a tool that expands what a person can attempt. It can also weaken them when the person experiences the system as doing the identity-bearing part while they become a replaceable source of instructions. The relevant divide is not simply "AI versus no AI." It is whether the person still feels causally responsible for the parts of the work that matter to them.

This is what I mean when I say people could "lose their minds" if the process continues unchecked. I am not predicting universal psychiatric illness. I mean something more ordinary and potentially widespread: a society can become materially more capable while leaving many people less certain about what their competence is for, how recognition is earned, what deserves pride, and whether the things carrying their name still feel like theirs. A productivity gain can coexist with a meaning loss.

That strain could appear as status anxiety, motivational flattening, distrust of polished work, compulsive attempts to distinguish oneself, withdrawal from creative activity, or a renewed hunger for embodied and communal experiences. None of that is inevitable. Workplace research already suggests that implementation matters. Gemmano et al. (2026) found associations between employee-centered AI practices and meaningful work, job satisfaction, and performance. That is consistent with a more hopeful version of the theory: AI can increase capability without hollowing out agency if people retain meaningful choice, authorship, learning, and responsibility.

5. What Becomes Scarce Instead

Scarcity does not disappear. It moves. If polished execution becomes cheap, people will search for qualities that remain costly, risky, relational, or difficult to fake. Some are obvious: trusted identity, original data, reputation, responsibility for consequences, access to real places and people, physical performance, live presence, and long-term relationships. Others are less obvious: restraint, taste, the ability to choose among infinite possibilities, and the willingness to stand behind a decision.

This could create a strange reversal. Human limitation may itself acquire value. A live singer can miss a note. A handwritten page contains corrections. A craftsperson can show the work in progress. A photograph can be tied to a verified capture event. A person can answer questions about how and why something was made. What once looked like inefficiency can become evidence that a real person occupied the process.

The same logic suggests why provenance will become infrastructure rather than a niche concern. If appearance no longer reliably tells us origin, markets and communities have incentives to verify origin directly: identity, chain of custody, capture provenance, process documentation, live certification, or labels that distinguish fully synthetic work from AI-assisted and substantially human-authored work. The premium will not always be monetary. It can show up as trust, emotional weight, status, attention, or legitimacy.

There are practical design consequences as well. AI systems should not be judged only by how much work they can remove. In education, creative work, and knowledge work, it may matter whether the system preserves legible human contribution - what the person chose, supplied, edited, verified, experienced, or took responsibility for. Removing every difficult step can maximize short-term throughput while also removing the steps through which competence and ownership are formed. In some contexts, meaningful friction is not a defect.

The strongest version of Dead AI Theory therefore does not end with the death of human value. It predicts a repricing of human value. The things AI makes easy lose some signaling power; the things still bound to responsibility, presence, relationship, and lived experience gain it. Eventually the premium may attach less to the statement "I made this" and more to the stronger claim: "I was there, I chose this, I understand it, and I will stand behind it."

6. Can Dead AI Theory Be Wrong?

A theory that can explain every outcome after the fact is not useful. Dead AI Theory should be judged by what happens as capability and access increase. The predictions do not need to appear everywhere at once, but the broad pattern should become visible in domains where authorship and identity matter.

First, verifiably human-made, live, local, embodied, or process-documented work should acquire a relative authenticity premium. Second, the amount of competent content should grow faster than total human consumption, lowering average attention or revenue for undifferentiated synthetic output. Third, status should move away from first-draft execution and toward judgment, problem selection, taste, verification, reputation, distribution, and responsibility. Fourth, provenance should become a larger technical and institutional layer. Fifth, some people should deliberately reintroduce friction - handwriting, analog media, live performance, no-AI competitions, local craft, unedited capture - because difficulty restores information about the maker. Finally, psychological outcomes should differ depending on whether AI increases experienced competence and autonomy or leaves the person feeling causally irrelevant.

There are obvious objections. Abundance has not killed art before. Cheap cameras did not end photography, digital audio did not end music, and printing did not end writing. I think that history supports rather than destroys the theory. Those technologies changed where scarcity lived. Photography became less about owning a camera and more about access, timing, subject, editing, reputation, and point of view. The unusual feature of AI is that the same relocation can happen across many creative and cognitive domains at once.

Another objection is that AI could create more creativity rather than less. I expect that it will. More people can express ideas they previously could not execute. But a larger total supply of creation and a lower signaling value per polished artifact are compatible. The theory is not a forecast of less creation; it is a forecast that the existence of a polished artifact alone will tell us less.

The best human practitioners will also remain better in many fields. Taste, domain knowledge, original observation, exceptional direction, and reputation will not become evenly distributed merely because generation is cheap. Again, that is not a contradiction. It tells us where the scarcity moves. If elite performance remains scarce, it remains valuable. Dead AI Theory is strongest where AI makes surface quality similar enough that the surface result stops revealing the differences audiences actually care about.

The theory would be weakened if the opposite pattern becomes durable: if audiences remain largely indifferent to provenance even in identity-bearing domains; if generic AI output continues to gain attention and status in proportion to its growing supply; if visible execution remains a reliable signal of individual competence despite universal access to generation; and if heavy delegation of identity-bearing work has no meaningful relationship to experienced agency or motivation. At present, the evidence only supports pieces of the argument. The larger transition is still underway. That is why I treat Dead AI Theory as a research program rather than a settled empirical result.

7. Conclusion: When AI Disappears Into Everything

Most AI forecasts ask how powerful the technology will become. Dead AI Theory asks what happens after power itself stops being scarce.

If nearly anyone can obtain a competent result, competence alone stops distinguishing people. If output becomes effectively infinite, attention does not. If appearances can be synthesized, origin matters more. If the difficult part of making something disappears, people look for other evidence of commitment. And if a person is repeatedly removed from the causal center of activities that once gave them pride or identity, a productivity gain can coexist with a loss of meaning.

That is the paradox. AI can become more useful while generic AI output becomes less impressive. The technology does not have to fail for this to happen. It has to succeed so completely that using it becomes unremarkable.

At that point AI is not gone. It is everywhere. It has disappeared into the background as infrastructure. And the scarce thing is no longer the ability to generate. The scarce thing is a reason to care - about this work, from this person, produced under these conditions, with someone willing to say: I was actually here.

References

Bruineberg, J. (2026). Rethinking the cognitive foundations of the attention economy. Philosophical Psychology, 39(6), 2400–2422. https://doi.org/10.1080/09515089.2025.2502428

Callaghan, C. W. (2025). The Post Science Paradigm of Scientific Discovery in the Era of Artificial Intelligence: Modelling the Collapse of Ideation Costs, Epistemic Inversion, and the End of Knowledge Scarcity. arXiv. https://arxiv.org/abs/2507.07019

Cooke, D., Edwards, A., Barkoff, S., & Kelly, K. (2025). As Good as a Coin Toss: Human Detection of AI-Generated Content. Communications of the ACM, 68(10), 100–109. https://doi.org/10.1145/3729417

Deci, E. L., Olafsen, A. H., & Ryan, R. M. (2017). Self-Determination Theory in Work Organizations: The State of a Science. Annual Review of Organizational Psychology and Organizational Behavior, 4, 19–43. https://doi.org/10.1146/annurev-orgpsych-032516-113108

Gemmano, C. G., Molinaro, D., Bellini, D., De Simone, S., Giancaspro, M. L., Mondo, M., Buono, C., Barbieri, B., Spagnoli, P., & Manuti, A. (2026). Making Artificial Intelligence Work at Work: The Role of Human Resource Practices and Personal Attitudes in Fostering Meaningful Work with Artificial Intelligence. Behavioral Sciences, 16(2), 238. https://doi.org/10.3390/bs16020238

Kruger, J., Wirtz, D., Van Boven, L., & Altermatt, T. W. (2004). The effort heuristic. Journal of Experimental Social Psychology, 40(1), 91–98. https://doi.org/10.1016/S0022-1031(03)00065-9

Lovén, L. (2026). Institutions for the Post-Scarcity of Judgment. arXiv. https://arxiv.org/abs/2604.22966

Møller, A. G., Romero, D. M., Jurgens, D., & Aiello, L. M. (2026). The impact of generative AI on social media: an experimental study. Scientific Reports, 16, 9376. https://doi.org/10.1038/s41598-026-40110-8

Park, J., Oh, C., & Kim, H. Y. (2024). AI vs. human-generated content and accounts on Instagram: User preferences, evaluations, and ethical considerations. Technology in Society, 79, 102705. https://doi.org/10.1016/j.techsoc.2024.102705

Pawelczyk, F., Dimmery, D., & Yan, P. (2026). Implied Authenticity Effect? The Impact of Explicit Labels on AI-Generated Content. Proceedings of the International AAAI Conference on Web and Social Media, 20(1), 1738–1766. https://doi.org/10.1609/icwsm.v20i1.42721

Shumailov, I., Shumaylov, Z., Zhao, Y., Papernot, N., Anderson, R., & Gal, Y. (2024). AI models collapse when trained on recursively generated data. Nature, 631, 755–759. https://doi.org/10.1038/s41586-024-07566-y

Ziano, I., & Yeung, S. K. (2023). “The Effort Heuristic” Revisited: Mixed Results for Replications of Kruger et al. (2004)’s Experiments 1 and 2. Collabra: Psychology, 9(1), 87489. https://doi.org/10.1525/collabra.87489

Suggested Citation

Ioakim, K. (2026). Dead AI Theory: What happens when competence stops being scarce? Independent conceptual working paper, Version 3.0.